

POSITION SIZING

Position sizing basically tells us about how much to trade or invest. We should not over trade, we should not under trade. We should not over invest or under invest.

POSITION SIZING BASICALLY MEANS QUANTITY, THE SIZE OF A PARTICULAR POSITION IN A PORTFOLIO.



For instance, if the portfolio is of ₹1 crore, then how much should be the value in each trade - ₹5lacs, ₹10 lakhs or ₹20 lacs. This is where position sizing comes into the picture.

We should ideally not be using the entire capital that we have for trading purposes. We should be using a part of the entire portfolio for trading even if we are a full time trader and use the rest as back up capital in case we face losses. We do not want to in a position where we may face survival risks in the market and properly sizing positions and trade size ensures that we survive in the market. We need to ascertain, what should be our trade size with respect to the loss that we are willing to take.

